but the Finance Member dealt with these aspects in his budget speech. He said that the matter of the sterling balances would be settled bilaterally between India and the UK with negotiations in the course of the year. He assured the House that leading political parties and other non-officials would be associated with the delegation for the purpose of discussions and that India was free to pursue any line she saw fit at the negotiations. Any idea that Britain was committed in advance to a scaling down of the balances or to a continuance of arrangements in which they would be allowed to accrue was entirely without foundation.[14] He also expressed the view that it would be ‘premature and unprofitable’ for India to withdraw from the Empire Dollar Pool.

The end of the war was the signal for the business world of India to raise their voice for an adequate allotment of foreign exchange, particularly dollars, for replenishing stocks badly depleted by the war. The UK, heading the sterling area, had her own problems and had also the interest of other areas to take care of and seemed to India to be unduly chary of sparing dollars. The RBI strongly supported the Indian plea. This attitude was to grow stronger in the following year.

The Central Board of the RBI lost no time in urging the segregation of India’s contribution so as to conserve dollar earnings for post-war reconstruction and development. From September 1939 to March 1945, India’s net contribution was of the order of $300 million. An extreme proposal mooted in some quarters was that India should withdraw from the Empire Dollar Pool forthwith and hold its dollar earnings separately. The situation was complicated by a lend-lease arrangement with the US. There was every probability of India’s favourable balance with the US being drastically reduced, if not changed into an unfavourable one, if the amount of lend-lease assistance to India was taken into account.

Deshmukh observes in his memoirs: ‘I shared the anxiety to secure early arrangements satisfactory to India being arrived at in regard to the best manner in which dollars could be held, and on my succeeding Taylor as Governor, made some tentative suggestions in this regard, on the basis of maintaining dollar debits and credits on India’s account with periodical adjustments with the Bank of England. However, there was, in my view, the risk, if India contracted out of the Dollar Pool, of the Bank of England expecting India to provide dollars against any adverse balance of payments